3.1% of their GDP is what states spend on average on capital expenditure when more than 10 per cent is what they should be spending ideally

convenience. Our government is not engaged in the BJP-started freebie business"



M.K. STALIN
CM, Tamil Nadu
"In a welfare state, free services are introduced with an intent to secure social order and economic justice under Article 38 of the Constitution, to minimise the inequalities in income, status, facilities and opportunities"



ARVIND KEJRIWAL
CM, Delhi, and AAP convenor
"Providing facilities to the people for free will not cause an economic crisis. But there will be an economic crisis by giving free benefits of lakhs of crores of rupees to friends"



KAMAL NATH
Congress leader and former CM, Madhya Pradesh
"If you are giving the industry a handout, that's a freebie, but something given to those below the poverty line or close to the poverty line, how can that be a freebie? They too need to run their house"



K. CHANDRASHEKAR RAO
CM, Telangana
"The Centre is insulting the states and the people by branding welfare schemes as freebies"



SURESH KHANNA
Finance Minister, Uttar Pradesh
"Whether it is youth or women, our effort is to empower and make them independent rather than survive on doles"



VIJAY KUMAR CHOUDHARY
Finance minister, Bihar
"In economic terms, when you support the underprivileged in fulfilling their basic needs like electricity subsidy and water, it is social welfare and not freebies"



AMIT MITRA
Ex-finance minister, West Bengal
"Let's disabuse this notion that everyone is getting freebies. These are not freebies but a part of the macro economic process. In terms of social spending as a percentage of GDP, developed countries average 30 per cent. India, including states, averages just 7.7 per cent. The reason for high social spending is to stimulate demand through consumer spending"

FREEBIES VS. WELFARE

Successive governments at the Centre and in the states have made social protection through public policy a key driver of their economic model. It was the second government of the United Progressive Alliance that in a departure from the welfare-based approach to development switched to a rights-based one. Under this, food, education, and health became a right of the people rather than state favours. "India moved from welfare to rights," says Ajit Ranade, economist and vice-chancellor of the Gokhale Institute of Politics and Economy in Pune. "We implemented the right to food, employment, education. Despite a public distribution system, we had a high degree of hunger. UPA's approach was to convert them into rights, the Modi government has taken it one step further." Subsidy spends by the Modi government include those on healthcare, education, electricity, fertilisers, food and interest payments.

IT WAS UPA-II THAT MOVED FROM A WELFARE-BASED APPROACH TO DEVELOPMENT TO ONE BASED ON RIGHTS. FOOD, HEALTH AND EDUCATION THUS BECAME PEOPLE'S RIGHTS, NOT STATE FAVOURS

The RBI in its definition has classified "expenditure which brings economic benefits, such as the public distribution system, employment guarantee schemes, state support for education and health" as public or merit goods. Provision of free electricity, water and public transportation, waiver of pending utility bills and farm loans, on the other hand, could be treated as non-merit subsidies or freebies. These potentially undermine the credit culture, distort prices through cross-subsidisation, erode incentives for private investment, disincentivise work at the current wage rate, thereby precipitating a drop in the labour force participation.

Meanwhile, state leaders have come up with their own definitions of freebies. In BJP-ruled MP for instance, Chief Minister Chouhan defined the *revdi* culture as "one just to get votes in which parties begin to compete, with one saying we will give a fridge and the other saying they will distribute televisions". Opposition-ruled states beg to differ. Rajasthan chief minister Ashok Gehlot says his wel-